

AFRICAN DEVELOPMENT BANK



TUNISIA

SUPPORT PROJECT FOR THE IMPLEMENTATION OF THE “DIGITAL TUNISIA 2020” NATIONAL STRATEGIC PLAN

PICU/RDGN DEPARTMENTS

October 2017

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Currency Equivalents

July 2017

EUR 1 = TND 2.64
UA 1 = EUR 1.25

Fiscal Year

1 January – 31 December

ACRONYMS AND ABBREVIATIONS

ADN	Digital Development Agency
AFD	French Development Fund
AfDB	African Development Bank
ANSI	National Information Technology Security Fund
APA	Advance procurement action
CSEN	Strategic Council for the Digital Economy
DU	Delivery Unit
EMM	Electronic Mail Management
<i>ERP</i>	Enterprise Resource Planning
EU	European Union
FCPI	Innovation Mutual Investment Fund
GDP	Gross domestic product
GEF	World Economic Forum
ICB	international competitive bidding
ICTs	Information and Communication Technologies
INS	National Institute of Statistics
INT	National Telecommunications Authority
IS	Information System
ISO	International Organization for Standardization
ITU	International Telecommunication Union
KYC	Know Your Customer
MDICI	Ministry of Development, Investment and International Cooperation
MENA	Middle East and North Africa
MTCEN	Ministry of Communication Technology and the Digital Economy
NCB	national competitive bidding
NRI	Networked Readiness Index
NSP	National Strategic Plan
PAR	Project Appraisal Report
PCN	project concept note
PCU	Project Coordination Unit
PND	National Development Plan
PPP	Public-private partnership
PSD	Country strategy paper
RNF	National Spatial Reference System
RNIA	National Integrated Network of the Administration
SAS	Simplified joint stock company
TD2020	Digital Tunisia 2020
TND	Tunisian Dinar
UN	United Nations
UN DESA	United Nations Department of Economic and Social Affairs
WB	World Bank

PROJECT INFORMATION SHEET

Client Information

Borrower: TUNISIAN REPUBLIC

Project Title: SUPPORT PROJECT FOR IMPLEMENTATION OF THE “DIGITAL TUNISIA 2020” NATIONAL STRATEGIC PLAN (PSN)

Project Area: ALL REGIONS OF THE COUNTRY AS WELL AS THE DIPLOMATIC MISSIONS AND CONSULAR POSTS OF TUNISIA

Executing Agency: MINISTRY OF COMMUNICATION TECHNOLOGY AND THE DIGITAL ECONOMY (MTCEN)

1. Financing Plan

Source	Amount (in TND million)	Amount (in EUR million)	Amount (in UA million)	Instrument
AfDB (loan)	189	71.56	57.25	Project loan
GOVERNMENT OF TUNISIA	167	63.4	53.72	National budget (public)
TOTAL	356	134.96	107.97	

2. Key AfDB Financial Information

Loan currency:	Euros (EUR) [or any other acceptable currency]
Type of Loan:	Fully flexible loan
Maturity:	19 years
Grace period:	6 years
Weighted average maturity: **	14.51 years
Repayments:	Half-yearly consecutive payments after the grace period
Interest rate:	Base rate + Funding margin + Lending spread + Maturity premium This interest rate must be greater than or equal to zero.
Base rate:	Floating (6-month EURIBOR reset on 1 February and 1 August or any other acceptable rate) A free option is available to set the base rate
Funding margin:	The Bank's funding margin revised every 1st January and 1st July and applied every 1st February and 1st August with the base rate
Lending spread:	80 basis points (0.8%)
Maturity premium:	10 basis points
Front-end fees:	0.25% Loan deducted from loan resources and payable during first disbursement

Commitment fee:	0.25% per year of non-disbursed amount Starts to accrue 60 days after the date of signature of the loan agreement and is payable on the set interest payment dates.
Base rate conversion option*:	Besides the free base rate fixing option, there is the possibility for the borrower to revert to the floating rate or reset on all or part of the disbursed loan amount. Transaction fees are payable
Rate cap or collar option*:	The borrower has the possibility to cap or collar the base rate for all or part of the disbursed loan amount. Transaction fees are payable
Loan currency conversion option*:	The borrower has the possibility to change the currency of all or part of its disbursed or undisbursed loan to another Bank loan currency. Transaction fees are payable
<i>*if applicable</i>	

3. Duration – Main stages (projected)

Activities	(month, year)
Approval of the concept note	March 2017
Project approval	November 2017
Effectiveness	Avril 2018
Completion	December 2021
Last disbursement	December 2022

EXECUTIVE SUMMARY

1. Overview of Project: Mindful of the objectives assigned to the digital economy sector within the National Development Plan (PND) 2016-2020, the Government requested Bank support to finance the Support Project for Implementation of the “Digital Tunisia 2020” National Strategic Plan (PNS). The project comprises: (i) the establishment of the main ministerial information systems (IS) (e-finance, e-justice, e-local government, etc.); and (ii) all the platforms that guarantee an e-government (interoperability, public cloud, Government intranet, etc.). Furthermore, it provides for institutional support that includes feasibility studies to prepare for the rest of the project, support actions (legal assistance, management change, communication, etc.) and implementation of various project activities. The project will be implemented over a four-year (2018-2021) period for an estimated total of EUR 134,96 million as follows: (i) an ADB window loan of EUR 71.56 million; and (ii) a national counterpart contribution of EUR 63.4 million from the national budget.

2. Needs Assessment: The project was designed based on detailed technical studies conducted through technical assistance provided to the Presidency of the Government and funded with MIC TAF resources. A distinctive feature of the project is its broad geographical coverage of almost the entire Tunisian territory through services that will be installed and operationalized for citizens. It also includes substantial support intended to trigger the emergence of a digital industry in Tunisia (creative industry, in particular) that will guarantee job opportunities for a significant segment of the young graduate population on the entire national territory. The project will significantly reduce current regional disparities through its e-local government component designed to provide grassroots services to all citizens regardless of their place of residence, using online platforms to the extent possible.

3. Bank’s Value-added: The Bank’s value-added lies in the field experience it has acquired from its interaction with Tunisian authorities since the initiation of the above-mentioned technical assistance provided to the Presidency of the Government. In this regard, it should be noted that Tunisian authorities wish to capitalize on this partnership with the Bank to achieve their national goal of establishing a paperless administration by 2020. The Bank’s intervention in this project will help Tunisia to develop innovative programmes focused on youth employment with a view to transforming the country into the ideal African destination for digital innovation by 2020. It will also support national efforts to enhance the consideration of the views of citizens in the formulation and implementation of public policies (e-Participation, Open Gov, etc.).

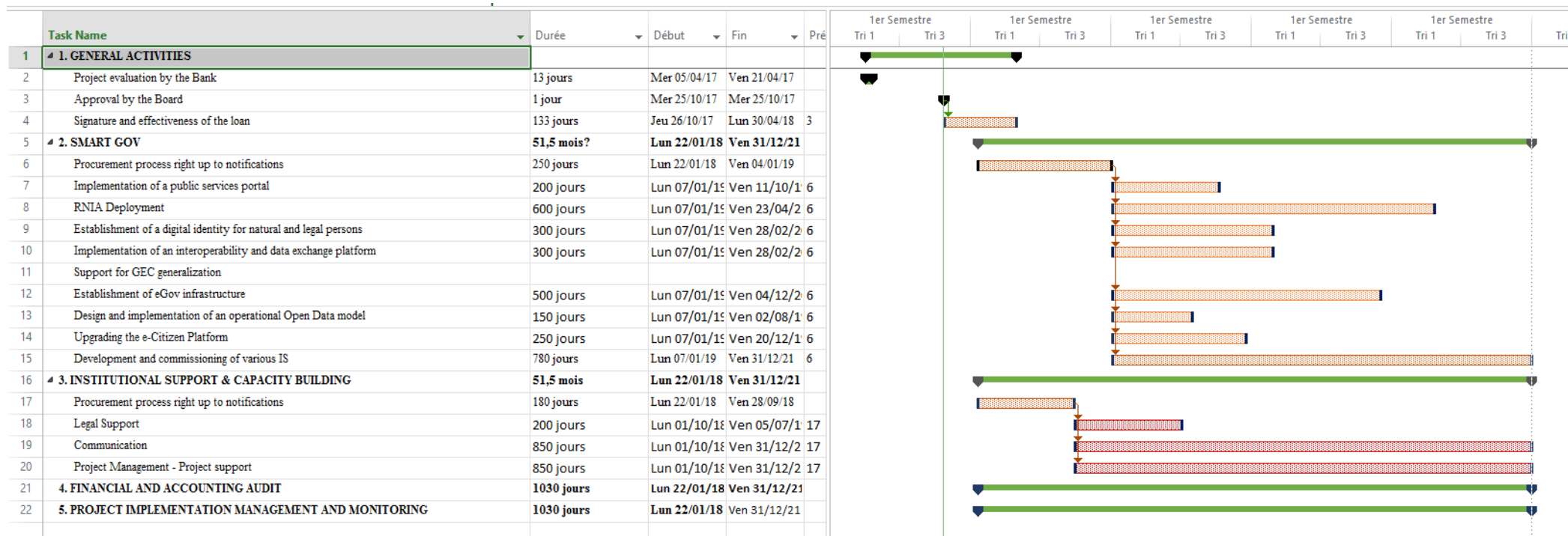
4. Knowledge Management: The project will provide an opportunity to improve knowledge on the design and implementation of national digital plans on the continent. Indeed, this project is innovative in several aspects including: (i) the (substantial) number of national stakeholders; (ii) significant recourse to the ICT Fund within the national budget; and (iii) coordination by MTCEN. The synergies generated by these aspects have transformed the project into an example to be emulated, in terms of design and implementation of transformative digital operations on the continent.

RESULTS-BASED LOGICAL FRAMEWORK OF THE PROJECT

Country and Project Title: Tunisia - Support Project for Implementation of the “Digital Tunisia 2020” National Strategic Plan (PNS) Project Goal: Contribute to the improvement of public services provided to citizens						
Results Chain		Performance Indicators			Means of Verification	Risks / Mitigative Measures
		Indicator (including ISCs)	Baseline Situation	Target		
Impact	An efficient, open and quality administration are established	✓ Digital vision of the Government NRI-GEF index, Scale: 1-7)) ✓ Digital ranking of Tunisia	✓ 3.58 (2016) ✓ World: 81 (2015) Africa: 4 (2015) Arab countries: 9 (2015)	✓ 5.85 (2021) ✓ World: 40 (2021) Africa: 1 (2021) Arab countries: 3 (2021)	✓ Reports & statistics of MTCEN, INT, etc. ✓ Project impact monitoring/evaluation reports • ✓ Reports of GEF, United Nations, etc.	
	• Outcome 1: The population and government services have greater access to online services • Outcome 2: Increased social, economic and financial inclusion of the youth and hinterland communities Outcome 3: Governance of administrative services improved in the country	✓ Availability of online administrative services (United Nations index, Scale: 0-1) ✓ Percentage of households with access to online Government services ✓ Number of digital technology jobs created per year ✓ Use of e-participation platforms by citizens (UN DESA index, Scale: 0-1) ✓ Successful promotion of e-government (WEF-NRI index, scale: 1-7)	✓ 0.63 (2014) ✓ 18.2 % (2015) ✓ 7,500 (2014) ✓ 0.64 (2014) ✓ 4.14 (2014)	✓ 0.77 (2021) ✓ 100% (2021) ✓ 25,000 (2021) ✓ 0.85 (2021) ✓ 5.6 (2021)	✓ Reports & statistics of MTCEN, INT, etc. ✓ Project monitoring-evaluation reports • ✓ GEF, United Nations, reports etc.	Risk 1: Bottlenecks in procurement procedures Mitigation measures: recourse to a procurement consultant would help to reduce procurement delays. . Risk 2: Weak capacity of the Delivery Unit (DU) Mitigation measures: Implementation of this project includes the provision of supplementary technical expertise through Bank-funded technical assistance.
Outputs	• Output 1: Smart Gov	✓ Number of interoperable IS established to guarantee the development of e-government ✓ Number of computerized/online government services • ✓ Number of administrative sites connected to the Government network (RNIA)	✓ 0 (2016) ✓ 200 ✓ 550	✓ 10 (2021) ✓ 500 (including 300 accessible online) ✓ 1.600	✓ Appraisal, supervision, progress, monitoring-evaluation, audit and project completion reports.	

	Output 2: Development of feasibility studies on the review of the legal and regulatory framework (protection of personal data, right of access to information, etc)	✓ ✓ Final reports of studies	✓ ✓ No studies	✓ ✓ Study reports validated			
	Output 3: Project Management ✓ Support to the Delivery Unit (DU); ✓ Monitoring-evaluation of technical implementation and of socioeconomic and environmental impacts; ✓ Accounting and financial audit of the project; ✓ Technical audit of the project.	✓ Audit reports ✓ Reports on monitoring/evaluation of various aspects of the project ✓ Technical audit reports	✓ 2017: No report	✓ 2021: At least 4 audit reports, 3 monitoring/evaluation reports, 1 technical audit report products, etc. produced.			
Key Activities	Components				Resources		
	Component A: Smart Gov Component B: Institutional support and capacity-building Component C: Project management				Components		In EUR million
					Smart Gov (Component A)		109.9
					Institutional support and capacity-building (Component C)		11.96
					Project management (Component D)		0.6
					Baseline costs		122.46
					Physical contingencies		8.57
					Financial contingencies		3.93
					Total project cost		134.9

PROJECT IMPLEMENTATION SCHEDULE



REPORT AND RECOMMENDATION OF BANK GROUP MANAGEMENT TO THE BOARDS OF DIRECTORS CONCERNING A PROPOSAL TO AWARD AN AFDB LOAN OF EUR 71.56 MILLION TO TUNISIA TO FINANCE THE SUPPORT PROJECT FOR IMPLEMENTATION OF THE “DIGITAL TUNISIA 2020” NATIONAL STRATEGIC PLAN (PNS)

I. STRATEGIC GUIDELINES AND RATIONALE OF THE PROJECT

1.1 *Project Linkage with Country Strategy and Objectives*

1.1.1. Tunisia is struggling to emerge from a difficult economic situation following the revolution that has rocked the country in recent years. It has remained mired in endemic unemployment (especially among the youth), continuous social protest and enormous macroeconomic challenges (high debt, fiscal and trade deficits, a weak dinar, etc.). Indeed, the national GDP growth rate was 1% in 2016,¹ which is far below the 5-6% the country needs to effect a significant decline in unemployment. According to the National Institute of Statistics (INS), Tunisia had an unemployment rate of 15.5% in 2016, with this figure being double among young graduates. The situation is compounded by wide social and geographical disparities. Hence, Tunisian authorities must urgently find adequate solutions to the problems of unemployment and poverty which could spark political instability in the country.

1.1.2. Accordingly, Tunisian authorities have raised ICTs into a national priority, given the sector performance generated in recent years by substantial public and private investments in infrastructure. The outcomes of such a bold policy are the creation of many technological centres (El Ghazala in Tunis, Sfax, etc.); the establishment of many underwater connections with Europe in particular; the creation of call centres; and the establishment of regional and national offices of large multinationals like Alcatel, Ericsson, Sofrecom, etc.

1.1.3. This project is consistent with the National Development Plan (PND) 2016-2020 through the following three pillars: (i) good governance and administrative reform (based exclusively on the implementation of e-government, which is the main component of the current operation); (ii) development from a low-cost economy to an economic hub (including the PNS as an underlying component); and (iii) realization of regional aspirations (e-local government module of the project).

1.1.4. The project synergistically focuses on two of the Bank’s High 5s (viz: industrialize Africa; and improve living conditions for the people of Africa). It is consistent with the two pillars of 2017-2021 Country Strategy Paper (CSP) for Tunisia (industrialization and development of local value chains and improvement of the quality of life for the communities in priority regions). It will significantly increase the competitiveness of the Tunisian economy by improving the administration’s quality and efficiency and facilitating export formalities (customs, taxation, visa, etc.) Furthermore, it is in line with Pillars 1 (national and regional ICT infrastructure) and 3 (ICT Applications) of the Bank’s operational strategy for ICTs.

1.2 *Rationale for Bank Involvement*

1.2.1. Cognizant of the above-mentioned challenges of good governance and administrative reform, the Ministry of Information Technologies and the Digital Economy (MTCEN) designed the “Digital Tunisia 2020” (TD2020) National Strategic Plan (PNS) through a participatory approach that involved all the major Tunisian stakeholders (public authorities, private sector and civil society) operating in the ICT sector.

¹ Source: Bank

1.2.2. PNS TD2020 focuses on the following four pillars:

- ✓ Pillar 1: **Infrastructure** - aimed at generalizing access to broadband internet and knowledge and developing ultra-high-speed internet.
- ✓ Pillar 2: **e-Gov** - aimed at transforming administrative services through the use and adoption of digital technology to enhance the efficiency and transparency of operations for citizens and the business community.
- ✓ Pillar 3: **e-Business** - aimed at transforming businesses through digital technology to enhance competitiveness, productivity and integration and making innovation the driving force of the digital industry by developing creative and functional solutions that support all sectors of activity and entrepreneurship.
- ✓ Pillar 4: **Smart Tunisia** - geared towards placing Tunisia among the top three countries in Offshoring and making it the Leader in IT Offshoring in the Africa-Middle East region.

1.2.3. It should be noted that the Bank funded the feasibility study of the abovementioned e-Gov pillar titled “Smart Gov 2020” for the Presidency of the Government. The results of this study were officially co-validated in December 2016. Accordingly, as a follow-up to that study, MTCEN requested the Bank, through the Ministry of Development, Investment and International Cooperation (MDICI), to assist in the implementation, inter alia, of the e-Gov pillar of PNS TD2020. The execution of “Smart Gov 2020” will lay the foundation for an effective and open administration that provides accessible, simple and high-quality services to users and businesses, and actively contributes to Tunisia's development.

1.2.4. Furthermore, PNS TD2020 contributes to the drive to transform the country from a low-cost economy, especially in the digital technology sector, to an economic hub thanks to Tunisia's location on the intersection between Europe, the MENA (Middle East and North Africa) region and Sub-Saharan Africa. To that end, Tunisia can leverage the comparative advantages of the above-mentioned three regions to expand its digital production for export. These include: (i) the quality of its educational system (higher education, in particular); (ii) competitive labour costs; and (iii) the digital environment (which is generally satisfactory albeit perfectible).

1.2.5. Furthermore, the project includes the following three “analog components” to ensure that Tunisia takes full advantage of the digital dividends: (i) an enabling business environment; (ii) solid human capital; and (iii) good governance. Indeed, apart from helping to improve the quality of training in Tunisia, as indicated above, this operation seeks to develop online government services. This entails simplifying administrative documentation by enabling users (individuals and corporate bodies) to use smart processes within a more streamlined business environment. By facilitating citizens’ access to online services, the project will help alleviate their distrust of the local and central governments, and lay the foundation for much-needed economic recovery.

1.2.6. The project also incorporates substantial support for improving the quality, efficiency and fairness of access to public services through the establishment of the complete foundations of e-government and, in particular, the implementation of a digital identity system that makes it possible, among other things, to effectively check the wasting of public resources through better targeting of beneficiaries in all sectors (health, education, social protection, agriculture, etc.).

1.3 Donor Coordination

1.3.1. From the institutional standpoint, the Digital Economy Strategic Council (CSEN), created by Decree No. 2014-4151 of 3 November 2014 and chaired by the Head of Government or his representative, oversees the development and implementation of the national digital economy strategy (PNS). Moreover, a Technical Committee, chaired by MTCEN (the Minister) or his representative, has

also been established and is tasked with coordinating the development and update of the national strategy for the digital economy and ensuring the smooth execution of the strategy and projects that fall within this framework.

1.3.2. To improve the alignment of PNS TD2020 implementation actions, MTCEN has assumed chairmanship of the Steering Committee (COPIL) tasked with coordinating the development and update of the national digital economy strategy (PNS TD2020) and ensuring its smooth performance and that of related projects. MTCEN has a directorate in charge of international cooperation, especially, external mobilization in conjunction with MDICI.

1.3.3. In the ICT sector, there is no formal framework for regular dialogue among donors involved in PNS TD2020 implementation at the request of Tunisian authorities. These include: (i) the French Development Agency (AFD); (ii) the World Bank (WB), and; (iii) the AfDB. However, it should be noted that MTCEN's three partners coordinate their operations in the sector through constant dialogue, since each of them focuses on a well-defined pillar of the aforementioned Plan. Hence: (i) the AFD focuses on e-health; (ii) the World Bank focuses on e-education; and (iii) the AfDB focuses on e-administration, e-business (particularly digital innovation) and Smart Tunisia. Through this project, the Bank seeks to provide the first external support to PNS TD2020 implementation.

1.3.4. The operations of technical and financial partners (TFPS) are coordinated by MDICI in collaboration with MTCEN and the Ministry of Finance which strives to guarantee close monitoring of outstanding public debt trends in a context characterized by deficits in the budget, trade balance and balance of payments, among others.

II. PROJECT DESCRIPTION

2.1. *Project Objectives and Components*

2.1.1. The project's sector objective is to help improve public services provided to users. Its specific objective is to enhance the performance, openness and quality of the Tunisian administration. To that end, the project focuses on the components described below.

2.1.2. The general objective of this support project for PNS TD2020 implementation is to transform Tunisia into an international digital destination, create jobs, increase the use of digital technology in all sectors of activity and ultimately transform this sector into the primary source of tax revenue for the State. To that end and in support of this bold programme, the Tunisian Government has decided to embark on a strategy to modernize the administration.

A. SMART GOV (EUR 109.9 million)

2.1.3. Concretely, this entails implementing a number of mature projects under the above-mentioned Smart Gov 2020 programme, to lay the foundation of e-government, namely digital facilitators (enablers), an interoperability framework, sector information systems (IS), etc. Strategically, this programme focuses on the following four major pillars: (i) integration of the administration through interoperability, sharing of State infrastructure and systems and electronic data exchange; (ii) opening up of the administration via a framework of transparency, consistency, data reuse and citizen participation; (iii) focusing local and national governance on users (citizens, businesses and services) by establishing simple, transactional user-friendly services; and (iv) ownership of digital technology by ensuring the digital transformation of the administration, popularizing the use of digital technology and introducing digital trust within the administration and among its users.

2.1.4. Furthermore, there is a major component focused on continuing with efforts under way to establish an efficient and open administration (Open Gov) as well as targeted support to strengthen governance of the digital economy in Tunisia. Under this initiative, Tunisia will endow itself with an

efficient and open administration that is almost paperless; provides accessible, simple and high-quality services to citizens and businesses; and actively contributes to national development.

2.1.5. Such reduction of administrative costs and simplification of procedures will: (i) significantly reduce the number of documents requested from users thanks to automatic data exchange between various public structures; and (ii) automate the processes required for public service provision. In other words, only useful information not available to other authorities will be requested from users (“Once Only” principle). This has even been enshrined in the constitution of some countries.

2.1.6. The first component of the project (“Smart Gov”) focuses on the establishment and modernization of administrative information systems (ISs) crucial for the development and online provision of administrative end-to-end services. Indeed, without automated back-office processing, Government Internet portals will remain restricted to their traditional informative role. Accordingly, provision is made for establishing or modernizing the ISs of about a dozen sovereign (e-Justice, e-local government, etc.) and strategic (e-finance, e-Foreign Affairs, etc.) ministries for the benefit of the Tunisian economy. Similarly, the establishment of a digital identity system for individuals and legal entities has been programmed to ensure reliable interactions between the Tunisian government and citizens. Moreover, it should be noted that the development and evolution of the State's ISs are the responsibility of the public bodies and structures that own such ISs. Accordingly, each structure must decide on the changes and improvements that best address its operational needs. However, they must all be aligned on the common backbone framework that will be established through this project. This framework will define the common rules and best practices for developing ISs and managing professional data to ensure the integration of new ISs and exploitation of the reference systems and common data available.

2.1.7. Under this component, the project also includes a component on the pooling and the rationalization of State resources and infrastructure. Hence, there are plans to establish a major software platform to ensure the interoperability of State ISs and data exchange. Furthermore, an e-Gov infrastructure (national cloud, Government intranet, government, support to the generalization of Electronic Document Management and the implementation of the e-government infrastructure (national cloud, government intranet, etc) (The project also provides for the establishment of an open data framework and tools that promote the transparency and re-use of public data. It also includes the extension (phase 2) of the Integrated National Network of the Administration (RNIA) whose first phase led to the interconnection of 550 administrative sites covering all regions of the country. The second phase scheduled under this operation will involve 650 local government sites and over 400 sites of the Ministry of Justice (administrative and trade tribunals, law courts, etc.) under the e-justice component. Ultimately, this will entail covering the entire Tunisian territory with a range of services (access to State applications, voice IP, videoconferencing, etc.) provided to all sites connected to the Government network.

B. INSTITUTIONAL SUPPORT AND CAPACITY-BUILDING (EUR 11.96 million)

2.1.8. Under its “Institutional Support and Capacity-building” component, the project includes support actions (legal assistance and support for change management) which all contribute to the consideration of all legal, human and statistical aspects during PNS TD2020 implementation. Moreover, given that each Department is expected to develop its own IS, the project provides for a major supervisory component to ensure diligent and proper implementation of each Service/enabler of the “Smart Gov” component.

C. PROJECT MANAGEMENT (EUR 1.818 million)

2.1.9. The project also includes a major component on project management without which project objectives would be seriously undermined. It focuses on: (i) Delivery Unit (DU) capacity-building

through the provision of a pool of technical and support experts, owing to the complexity of the project, given the multiplicity of partners who need technical follow-up and close coordination by MTCEN; and (ii) support for certification of the DU to negotiate the best transition to the Tunisian Agency for Digital Development (ADN).

To achieve the above-mentioned objectives, project activities are grouped into four components, summarized in the table below.

Table 2.1: Project Components

No.	Components	Description
A	SMART GOV (EUR 109.9 million)	A.1 - e-Services and enablers A.2 - Interoperability and sharing A.3 - Open Gov
B	INSTITUTIONAL SUPPORT AND CAPACITY-BUILDING EUR 11.96 million	C.1 - Studies C.2 – Attendant actions C.3 – Project supervision
C	PROJECT MANAGEMENT (EUR 0.6 million)	D.1 - Support to the Delivery Unit (DU)

2.2. Technical Solutions Adopted and Alternative Solutions Considered

2.2.1. As described above, the project concerns the establishment of a complete communicative administration platform that requires the optimization and integration of horizontal and vertical internal administrative procedures to enhance their efficiency and ensure that the Tunisian administration does not need to request users to provide information that it already has.

2.2.2. Two approaches are usually adopted in the design and implementation of e-government:

- ✓ The centralized approach which concentrates all key resources (infrastructure and software) within a single government entity mainly for reasons of cost. Nevertheless, it goes without saying that implementing such an approach requires a communicative administration (at least within each administrative entity concerned) that is not too developed to avoid the potentially substantial additional costs of such centralization. However, it should be noted that this option requires the establishment of at least two data centres (main and backup) to avoid the risk of public data loss while ensuring the increased availability of State applications.
- ✓ The (most common) approach involves infrastructure which is distributed but based on a middleware solution that allows public databases to communicate securely regardless of their location or connective entities (ministries, local and regional government bodies, etc.). The main advantage of this option is obviously its greater flexibility (compared to the previous approach) because it allows, inter alia, the creation of services capable of simultaneously using data contained in various databases. This is the approach adopted in the Estonian model lauded as an example in the world, as well as in South Korea, Belgium and Jordan.

2.2.3. The Tunisian Government has opted for the second approach which makes it possible to structure and coordinate e-government development for all government services. Hence, re-utilization, standardization and flexibility are key concepts of the mechanism, which is based on many common systems and infrastructure, and on guidelines, pertaining mainly to interoperability, allowing each Ministry to develop its own services based on its needs. Hence, the system is based on essential infrastructure and facilitators, namely:

- ✓ X-Road, a secure and decentralized data exchange network that allows the easy connection of various databases, and the addition of new ones, regardless of the original platform. This decentralized system implies that information is only stored within the government system responsible for it and is accessible through the unique identifier of the individual/company concerned.
- ✓ A digital identification system, based on a unique ID, grants individuals and corporate bodies access to online administrative services, among others.
- ✓ A State portal that serves as a “one-stop-shop” and enables citizens, businesses and civil servants to access all public e-services, using a unique identifier.

2.2.4. Moreover, it should be noted that in infrastructure terms, MTCEN decided to rely on telecommunications operators (Orange, Ooredoo, Tunisia Telecom, etc.) to ensure the interconnection of the 1,200 administrative sites rather than build a proprietary government network that comes with potentially considerable attendant operating costs. In terms of public data storage, MTCEN opted to pool available resources through the establishment of a government cloud service, which has the advantage of dynamic management of available data storage allocation to a multitude of operational sector data centres. The alternative would have been to invest in public data centres that are expensive in terms of required investments and operating costs (especially energy costs).

Table 2.2
Alternative Solutions Considered and Reasons for Rejection

Alternative Solution	Brief Description	Reason for Rejection
Centralized e-Gov architecture	Concentration of all software and infrastructure platforms within a single connective entity.	This option is affected first by the distributed nature of the existing architecture which does not allow for a return to centralization. Moreover, existing technological tools (middleware, in particular) make it possible to combine flexibility and coherence by combining the interoperability of various ISs and their common referential systems.
Proprietary infrastructure networks (RNIA2)	Establishment of a Government intranet and means of storage for own public data storage.	The main disadvantage of this solution is its significant cost relative to the facilities offered by available technologies that make it possible to overcome this constraint.

2.3. Type of Project

2.3.1. The project is an investment operation. It is the financing instrument deemed to be the most adapted to the Bank's intervention in this operation. Funding raised by the Bank will provide substantial leverage to ICT funds whose low real disbursement rates (compared to the budgets allocated each year) inevitably contribute to the delay in PNS TD2020 implementation since its launch.

2.4. Project Cost Estimate and Financing Mechanisms

2.4.1. The total project cost, net of taxes and customs duties, is EUR 134.96 million (or TND 356 million). The provision for physical contingencies is 7% of the baseline cost. The provision for price increase is 3% of the baseline cost plus physical contingencies. This cost was established based on the feasibility studies conducted and feedback from similar contracts recently or currently implemented by MTCEN.

2.4.2. As regards the investment component of the project (components A and B - Smart Gov as well as institutional support and capacity-building support), a similar financing arrangement was adopted between the Bank, acting through the ADB window, and the Tunisian Government using national

counterpart contributions disbursed from the national budget through the ICT Fund. In addition, the Bank will provide additional technical support to the DU in the form of capacity building.

The summary of estimated costs by project component is presented in the table below:

Table 2.3
Summary of Estimated Costs for the Entire Project

Components	EUR million			UA million		
	F.E.	L.C.	Total	F.E.	L.C.	Total
A. SMART GOV	87.92	21.98	109.9	70.33	17.58	87.91
B. INSTITUTIONAL SUPPORT AND CAPACITY-BUILDING	9.57	2.39	11.96	7.65	1.91	9.57
C. PROJECT MANAGEMENT	0.48	0.12	0.60	0.38	0.1	0.48
BASELINE COST	97.97	24.49	122.46	78.36	19.59	97.96
Physical contingencies (7%)	6.86	1.71	8.57	5.49	1.37	6.86
Financial contingencies (3%)	3.14	0.79	3.93	2.52	0.63	3.15
TOTAL	107.97	26.99	134.96	86.37	21.59	107.97

The summary of estimated costs by project component is presented in the table below:

Table 2.4
Summary of Project Costs by Expenditure Category

Expenditure Category	EUR million			UA million		
	F.E.	L.C.	Total	F.E.	L.C.	Total
A. GOODS	1	0.25	1.25	0.8	0.2	1
B. SERVICES	96.96	24.24	121.2	77.57	19.39	96.96
BASELINE COST	97.96	24.49	122.45	78.37	19.59	97.96
Physical contingencies (7%)	6.86	1.71	8.57	5.49	1.37	6.857
Financial contingencies (3%)	3.14	0.8	3.94	2.52	0.63	3.145
TOTAL	107.96	27	134.96	86.38	21.59	107.97

2.4.3. The project will be funded by the Bank (ADB Window) and the Tunisian Government through the national budget (ICT Fund), in accordance with the provisional financing plan below. The Bank is considering a loan (EUR 71.56 million) representing 53% of the project cost. Tunisia's national counterpart contribution amounts to EUR 63.44 million, or 47% of the total project cost.

Table 2.5
Summary of Project Costs by Financing Source

Financing Sources	EUR million			UA million			Percentage
	F.E.	L.C.	Total	F.E.	L.C.	Total	
AfDB Loan	57.25	14.31	71.56	45.80	11.45	57.25	553.0%
Gov't of Tunisia	50.72	12.68	63.40	40.58	10.14	50.72	47.0%
TOTAL	107.97	26.99	134.96	86.38	21.59	107.97	100%

Table 2.6
Summary of Project Components by Financing Source (in EUR million)

Components	AfDB		Gov't of Tunisia	Total
Component A: Smart Gov	63.77		57.35	121.12
Component B: Inst. support & capacity- building	7.13		6.05	13.18
Component C: Project management	0.66		0.00	0.66
TOTAL	71.56		63.40	134.96

2.4.4. The expenditure schedule (in EUR million) by financing source is presented in the table below:

Table 2.7
Expenditure Schedule by Financing Source (in EUR million)

Financing Sources	15%	20%	35%	30%	100%
	2018	2019	2020	2021	Total
AfDB Loan	9.74	12.99	22.72	19.48	64.93
Gov't of Tunisia	8.63	11.5	20.13	17.26	57.52
BASELINE COST	18.37	24.49	42.83	36.7436	122.45
Physical contingencies (7%)	1.29	1.71	3.00	2.57	8.57
Financial contingencies (3%)	0.6	0.8	1.38	1.18	3.93
TOTAL	20.26	27	47.21	40.49	134.96

2.5. Project Area and Beneficiaries

2.5.1. **Project Area:** Almost all the ISs and other interoperability tools will be installed in the region of Tunis, except for the second phase of the Integrated National Network of the Administration (RNIA2). However, it should be noted that the positive externalities of the project (access to quality government services online) will benefit the entire Tunisian population all over the national territory. Moreover, the implementation of the project is also likely to trigger the emergence of a digital economy that would generate a large number of jobs (for young graduates in particular) and thus ensure greater stability and social cohesion.

2.5.2. **Direct Beneficiaries of the Project:** As stated above, the beneficiaries of the expanded project area are the entire population of Tunisia. Indeed, once the administrative sites are fully connected through RNIA2 and the foundations of e-government have been laid (IS, interoperability, etc.), the Tunisian government will have all that is required to launch a virtually universal automation of its interactions with users. In general, the Tunisian private sector will benefit through the execution of a multitude of activities planned under this operation.

2.6. Participatory Approach for the Identification, Design and Implementation of the Project, including the Active Participation of the Private Sector

2.6.1. The participatory approach was also preferred during the feasibility study of the project ('Smart Gov 2020') and in the identification and assessment of necessary supplements (financing, management, administrative, legal, etc.) to the PNS TD2020 during preparation and assessment missions. These

consultations contributed to better project design in terms of the development of project components and implementation arrangements.

2.6.2. During the identification, preparation and appraisal missions, all government services (Presidency of the Government, MTCEN, MDICI, etc.) and private sector stakeholders were consulted. Discussions with them helped to define the contents of the project to ensure optimal conditions for the emergence of Tunisian champions in the area of digital innovation. It should also be recalled that the Bank's comments were taken into account throughout the preparation of the aforementioned feasibility study.

2.7. *Bank Group Experience and Lessons Reflected in Project Design*

2.7.1. . As of 10 September 2017, the Bank's active portfolio stands at UA 1.25 billion (or EUR 1.5 billion) and it includes the Bank Group's active portfolio of 42 operations, 13 of which are public sector operations, 8 in the private sector and 21 grant operations broken down into (i) 9 operations financed by the Middle Income Countries Trust Fund; (ii) 12 operations financed by the Middle East and North Africa (MENA TF) Transition Fund. The portfolio had 40 operations with UA 1.35 billion at the previous review which took place as at 30 November 2015. Overall, the performance of the public and private loan portfolio is satisfactory. However, the performance of technical assistance grants needs to be improved and efforts are continuously being made, including restructuring and cancellation of non-performing operations.

2.7.2. The main constraints and problems encountered were, in particular, during project implementation in Tunisia, including: (i) slow procurement procedures; and (ii) lack of human resources.

2.7.3. In light of the foregoing, the Bank will benefit from the following provisions already adopted or planned during project implementation: (i) recourse to a consultancy firm will help in reducing procurement delays; (ii) provision of back-up technical expertise through technical assistance funded by the Bank.

2.7.4. Finally, the execution of this operation builds on the lessons learned from the implementation of the project's feasibility study. Indeed, there have been many delays in the conduct of this study due to lack of human resources within the executing agency. Thus, challenges related to institutional bottlenecks, financing method and procurement procedures were anticipated by tackling MTCEN's capacity building issues. There is no doubt that this project is highly inclusive and thus guarantees the successful implementation of the PNS TD2020 which started off sluggishly due to the aforementioned constraints.

2.8. *Key Performance Indicators*

2.8.1. The main performance indicators and results expected from the project are outlined in the logical framework matrix with deadlines. The basic sectoral indicators on which the project will focus are: (i) the Government's Digital Vision; (ii) the digital positioning of Tunisia; (iii) the availability of online administrative services; (iv) the percentage of households with access to online government services; (v) the number of digital jobs created per year; (vi) the use of e-Participation platforms by citizens; (vii) the successful promotion of e-Government; (viii) the number of established ISs that are interoperable and which underpin the e-Gov development; (ix) the number of online informative/transactional government services; (x) the number of administrative sites connected to the Government network (RNIA); and (xi) positioning of Tunisia as an entrepreneurial hub.

2.8.2. The responsibility for data collection and analysis has been entrusted to the Delivery Unit. To that end, and to measure the impact of the project and consequently that of PNS TD2020, these entities

will be able to: (i) establish the baseline for these indicators at the start of the project by supplementing those mentioned above, where necessary; (ii) conduct regular impact assessment during project implementation; and (iii) continue this assessment after commissioning of the various planned activities.

2.8.3. To execute these activities within the prescribed deadlines, and apart from the results indicators, performance execution indicators were established in relation to the Bank's institutional performance indicators. These include: (i) effectiveness deadlines; (ii) deadlines for the fulfilment of conditions precedent to first disbursement; (iii) procurement deadlines; and (iv) changes in the disbursement rate in accordance with the expenditure schedule. These indicators will be monitored during supervision missions and in the daily management of the project.

III. PROJECT FEASIBILITY

3.1. *Economic and Financial Performance*

A financial and economic return analysis was conducted on the following components “Smart Gov”

The macroeconomic assumptions focus on a 3% inflation rate. The financial discount rate is 2% and the economic discount is 10%. Based on these assumptions, the main outcomes are listed below:

<i>Table 3.1</i> <i>Economic and Financial Viability</i>	
FIRR; FNPV:	11%; EUR 115.504 million at 2%
EIRR; ENPV:	22%; EUR 117.620 million at 10%

3.1.1. The total economic life of the project is 10 years. Based on these assumptions, the FIRR is 11% and the EIRR is 22%. The analysis demonstrates both the economic and financial feasibility of the project.

3.1.2. Furthermore, a project sensitivity test was conducted based on the following three parameters: (i) a 10% increase in investment costs; (ii) a 10% decline in revenue; and (iii) a combination of the two previous criteria. The results of this sensitivity analysis found in Technical Annex B.7 clearly indicate variations that do not affect the financial and economic viability of the project.

3.2. *Environmental and Social Impact*

3.2.1. **Environmental Aspect:** The project was classified in environmental category 3, in accordance with the Bank's Integrated Safeguards System, because it entails implementing only the ICT solutions that are not expected to generate a significant environmental impact. Project preparation and appraisal helped ensure that even RNIA2 will be implemented through a service contract with telecommunications operators, following the same procedure used in the first phase of the project. The contract signed between MTCEN and said operators covers service fees, the procurement costs of IT equipment and networks which remain the property of the Tunisian State, thus averting the deployment of a proprietary network and the attendant potential negative environmental impacts.

3.2.2. Moreover, it should be noted that the online administrative services provided through this operation are likely to decrease the population's carbon footprint which will ultimately be less inclined to travel to administrative sites, unless it is absolutely necessary (e.g. mandatory physical withdrawal of an administrative document).

3.2.3. **Climate Change:** ICTs are not eligible for “climate change” categorization. However, it should be noted that Smart Gov products will reduce travel (by users and postal workers) and consequently help to reduce: (i) greenhouse gas emissions (GHG); and (ii) paper consumption.

3.2.4. **Social Impact:** The broader project area covers the entire Tunisian territory. Moreover, the positive externalities of the project will benefit the entire population of Tunisia. The main positive impacts of the project are: (i) improved access to good quality and grassroots government services; (ii) creation of job opportunities and improved incomes in the digital economy; and (iii) improved functioning of sovereign services (especially Justice) for greater social cohesion. According to data from the Tunisian Ministry of Higher Education and Scientific Research, over 13,000 ICT graduates are produced each year and there are over 200 university ICT courses. Moreover, available data shows that ICT sector contribution to job creation in Tunisia increased from 1.9% in 2006 to 3.1% in 2012. This potential could increase rapidly thanks to the activities scheduled under the project, which have transformed ICT into one of the strategic sectors for promoting employment, especially for the youth. Indeed, by promoting youth employment, the project will help to address the need to ensure the stability and sustainable socio-professional integration of youths as a means of combating their exposure to terrorism and illegal migration.

3.2.5. **Involuntary Community Resettlement:** There will be no resettlement under this project.

3.2.6. **Gender and Specific Activities for Women:** In Tunisia, the ICT sector reportedly holds greater employment potential for women. According to the 2011 report of the study conducted by the European Training Foundation, women's employment in the ICT sector, including call centres, represents 41% of total employment, which is well above the national average. Although there is no recent data, this situation is a good indicator of how activities scheduled under the project could help to boost job opportunities for women. In addition, the introduction of e-government services will also allow women (especially from within the country) to avoid traveling (sometimes over long distances) to request an administrative document from the nearest council.

IV. IMPLEMENTATION

4.1. Implementation Arrangements

PNS TD2020 is characterized by the significant volume of consultancy contracts to be signed. Accordingly, the following arrangements were agreed upon.

4.1.1. **Applicable Procurement Policy and Framework:** All consultancy services funded with Bank resources will be procured in accordance with the Procurement Policy for Bank Group-funded Operations (AfDB procurement policy) October 2015 edition, and the provisions set out in the funding agreement. Pursuant to this policy and based on the various assessments conducted, it was agreed that all procurements of non-intellectual services and goods for the “Smart Tunisia” initiative will be executed following the procurement system of the Borrower (“National System”) as set out in Decree No. 2014-1039 of 13 March 2014 to regulate public procurements (“DMP”). The procurement of IT equipment and networks as well as the selection of all consultants scheduled for the project will be done in accordance with the Bank’s procurement system (“the AfDB system”).

The procurement arrangements (system, cost, timing, method, type of review) agreed upon between the Borrower and the Bank are presented in Table B.5.d and the procurement plan (Section B.5.8) of Technical Annex B.5.

4.1.2. **Organization of Procurement Implementation and Efficiency:** All project procurements will be executed by Delivery Unit of the executing agency (Ministry of Communication Technologies and the Digital Economy). The Delivery Unit (DU) is being created. It was agreed that this unit be established prior to project effectiveness and be staffed with qualified human resources to execute procurements according to Bank and national systems.

4.1.3. **Assessment of Procurement Risks and Capacities:** In a bid to address the specificities of the project, the Bank assessed: (i) the risks at the national, sectoral and project levels; and (ii) the capacity of the executing agency. The findings of these assessments showed that there was an overall high procurement risk and helped to determine the use of the Bank's procurement system.

4.2. **Financial Management and Disbursement Arrangements**

4.2.1. MTCEN will be responsible for executing the project and managing its resources, through the Delivery Unit (DU) that will be created. The DU shall coordinate and monitor implementation of the project by MTCEN, ministries and partner institutions. The project's financial management system was assessed in accordance with the Bank's guidelines. The assessment covered aspects related to budget management, accounting, cash-flow management, internal control, financial reporting and external audit, and took account of the results of Tunisia's fiduciary risk assessment.

4.2.2. Financial management of the project will be ensured by the Sub-Directorates for Finance and ICT Fund Management which will control the accuracy of records and payments from Bank and ICT Fund resources; and by the DU which will monitor project budget execution, the preparation of disbursement requests and the financial information required for the project. **MTCEN has organized structures and qualified staff to ensure the financial management of the project. The latter will also benefit from the national system of internal control which guarantees a separation of functions between the authorizing officer, the controller and the payer. The project is the first operation the Bank is financing for MTCEN. The Project Delivery Unit, which will coordinate and monitor the implementation of the project, is being established. Moreover, national applications used for the management of public resources (ADEB and SIAD) do not currently allow for automated financial reporting to meet the needs of the project. This is complex since it finances several innovative sub-projects with a multitude of partners (Ministries). Funding for the counterpart fund comes from the Treasury Fund (ICT Fund) managed by the MF and whose rules for making the funds available are binding, posing a risk of delay in releasing counterpart funds.**

4.2.3. **The assessment concluded showed that there was a high initial fiduciary risk** stemming from the complexity of the project and the multitude of partners; the composition and hitherto unknown means of the DU; the MTCEN's lack of experience in managing AfDB-funded projects and the risk of insufficient and/or late disbursement of funding from the ICT fund.

4.2.4. **Identified risks will be subject to the following mitigation measures:** (i) Submit to the Bank evidence of the creation of the DU and the appointment of MTCEN staff assigned to the DU including financial and accounting frameworks, including profiles and satisfactory terms of reference for the Bank; (ii) demonstrate on an annual basis from 2018 through the corresponding budgetary allocations, the availability of counterpart funds needed for the project; (iii) develop a simplified project procedures manual the flow of information between the DU, the MTCEN directorates and the institutions involved in the project, as well as the detailed arrangements for the flow of funds from the Bank and the ICT Fund, and (iv) setting up a computerized tool for monitoring the project's financial data, allowing the automatic compilation of the project's reports and financial statements according to the detailed plan in the annexes.

The Bank's financial management and disbursement procedures will be presented at the launch of the project.

4.2.5. **Disbursement Arrangements:** Disbursements of the AfDB loan will be subject to the applicable disbursement rules set out in the Bank's disbursements manual. The direct payment method will be used to pay project expenses eligible for loan financing. The reimbursement method may also be used. The DU will be responsible for controlling the eligibility of expenses paid with loan resources. **Loan resources will finance 50.4% of the pre-tax amount of project expenditures, with the**

remainder being financed by the national counterpart fund through ICT Fund resources.

4.2.6. Audit Arrangements: The financial statements of the project will be audited by the Finance General Controller (CGF) annually and at project completion in accordance with the Terms of Reference (TORs) for the audit of AfDB-funded investment operations. The project's audit reports, including internal control reports, must reach the Bank within six months after closure of the relevant fiscal years. Besides, the project may also be subject to audits by State control bodies. The Bank will also be interested in obtaining and using the reports of these control missions.

4.3. Monitoring

4.3.1 Project implementation will be monitored by the Delivery Unit (DU) pending the establishment of the Digital Development Agency (ADN) by the end of 2018. The supervision missions will also provide an opportunity to report on the project's physical and financial performance.

4.3.2 To strengthen the current system, the project will also benefit from the established governance scheme. It will support the Delivery Unit (DU) in defining the major guidelines for the e-Gov pillar, the supervision of their execution and overall coherence with PNS TD2020. The DU will be responsible for the design and implementation of a participatory monitoring/evaluation plan involving all stakeholders, including private partners and civil society organizations operating in the digital technology sector.

4.3.3 As regards assessing the level of attainment of its development objectives, a socioeconomic impact monitoring/evaluation mechanism will be set up and implemented by the DU. Regarding the implementation of the "Smart Gov" component, there are provisions for the supervision of each planned activity to ensure compliance with the original terms of reference, in addition to the pool of experts on which the DU will rely as the technical referents of each activity in partnership with each of the Ministries concerned.

Table 4.1
Project Monitoring and Supervision

Timeframe	Stage	Process	Feedback
Q1 -2018 Q3&T4-2018	Launching of project	Field mission	Status reports
	Project Appraisal – contracts	Field mission/ Supervision	Status reports/ Aide mémoire
Q1&Q2&Q3&Q4-2019-2020	Implementation of the various "Smart Gov" components together with support activities	Field mission/ Supervision	Status reports/ Aide mémoire
Q3 -2021	Guarantee period and first year of activities	Field mission	Status reports/ Aide mémoire Project completion report.

4.4. Governance

4.4.1 Procurements and financial management risks were analysed during project appraisal. In general, the measures already taken by Tunisian authorities in terms of various legal, regulatory and other mechanisms, as well as the leveraging of ICT (through the ongoing introduction and generalization of TUNEPS) will help to mitigate these risks. In the procurement process for international competitive bidding, the Bank will ensure the strict application of its rules and procedures and through ex ante reviews. The Bank's supervision missions and technical and financial audits will ensure conformity between the terms of reference, services provided, works carried out, disbursements made and the loan agreement.

4.4.2 In view of the above-mentioned difficulties that have significantly undermined PNS TD2020 implementation, MTCEN initiated a broad national discussion from the end of 2016 which has helped to identify the structural obstacles undermining the attainment of programme outcomes by 2020. All

participants in the discussion agreed on a diligent review of the institutional framework for programme implementation which is inadequate due to the limited resources raised, difficulties in accessing the ICT Fund (main funding source of PNS TD2020) and the lack of coordination among the wide range of public and private sector stakeholders involved. In this regard, the project can also rely on the pool of technical and support experts who will be deployed through the Bank's technical assistance to ensure the complete and successful implementation of this backbone operation.

4.4.3 The project also includes the development of a framework of digital trust for transactions in cyberspace which enables users (citizens and businesses) to benefit from online services and agree to share their data. Legal support to the project will focus on an arsenal of legal and regulatory instruments that need to be drafted to protect personal data and combat cybercrime.

4.5. Sustainability

4.5.1. The scheduled establishment of the Digital Development Agency (ADN) that will take over from the DU will contribute to the sustainability of project outcomes. Furthermore, it should be noted that some planned applications will help to generate resources that could greatly enhance the functioning of the Agency and of its digital investment programme. One example is the digital identity management platform which could serve as a reliable solution offered for a fee to financial institutions in the country (commercial banks, microfinance institutions, etc.) when they conduct their KYC (Know Your Customer) operations to reduce the risk of payment defaults and even fraud.

4.6. Risk Management

4.6.1. The risks which could undermine the attainment of results relate to: (i) the lack of high speed and ultra-high-speed internet infrastructure in remote areas; (ii) failure by sectoral ministries to comply with the interoperability framework to be established; and (iii) limited use of online Government services.

4.6.2. **The mitigation measures identified are:** (i) the recent launch by MTCEN of a licensing of operation for infrastructure operators (in well-defined zones) through (very low) incentive costs to supplement the major national operators who refrain from investing in such areas on the pretext that they are not profitable; (ii) adoption by the Digital Economy Strategic Council (CSEN), chaired by the Head of Government, of a clear road map in order to acquaint each Ministry of its responsibility to scrupulously respect the principles of a common reference system to ensure fluid and secure interaction among all ISs of the State; (iii) consideration of the development and implementation of a communication plan focused on PNS TD2020 and this operation in particular.

4.6.3. **The risks that could undermine the achievement of outcomes relate to:** (i) late disbursement of counterpart funds (ii) delays in the procurement process; (iii) increase in the cost of works; (iv) failure to comply with the technical and operational specifications for the various applications scheduled under the project.

4.6.4. **The mitigation measures identified are:** (i) the commitment of the Tunisian Government to use of its national budget (and the ICT Fund in particular) to finance the national counterpart contribution; (ii) strict monitoring of the Bank's procurement procedures; (iii) consideration of the physical contingencies in the project; and (iv) capacity-building of the DU (prior to installation of the future ADN).

4.7. Knowledge Development

4.7.1. The project will provide an opportunity to improve knowledge in the field of e-Government and its impact on the socioeconomic development of member countries.. The major component on governance of the digital economy will also constitute a crucial feedback of experience from this project.

Hence, Tunisia is currently inaugurating a new era in Africa during which public authority will be exercised through digital technology in an attempt to take a qualitative leap in public governance, just like Korea, Estonia or Jordan.

V. LEGAL INSTRUMENT

5.1. Legal Instrument

The project will be financed with an ADB loan awarded to the Republic of Tunisia. A loan agreement will be signed between the Republic of Tunisia and the Bank.

5.2. Conditions Associated with the intervention of the AfDB loan

5.2.1. Conditions Precedent to Effectiveness

The AfDB loan agreement shall become effective subject to the Borrower's fulfilment, to the Bank's satisfaction, of the conditions provided for in Section 5.01 of the General Conditions for Loan Agreements and Guarantee Agreements (sovereign entities).

5.2.2. Conditions Precedent to First Disbursement of the AfDB Loan

The first disbursement of the loan shall be subject to the fulfilment by the Borrower of the following conditions to the satisfaction of the Bank: (i) Provide: (a) proof of establishment of the Delivery Unit (DU) with a definition of its duties and responsibilities; (b) evidence of the recruitment or designation of the key members of the DU, namely a Project Coordinator, a Procurement Specialist (PS), an Administrative and Finance Officer (RAF), and an Accountant whose experience and professional qualifications have previously been satisfactory to the Bank; and (c) the project's Simplified Procedures Manual, including: (1) information flow between the DU, MTCEN Directorates and institutions involved in the project, and a detailed flow of funds from the Bank and ICT Fund, as well as (2) procurement aspects; and

(ii) Provide proof of replenishment of the ICT Fund of at least EUR 9 million for resources to be mobilized under the national counterpart fund for the year 2018.

5.3. Other Conditions

In addition, to the satisfaction of the Bank and no later than 1 February of each year commencing in 2019, the Borrower shall provide proof of the availability of counterpart funds (ICT Funds) for the year under consideration in line with the project's disbursement plan which may be periodically revised by agreement between the Parties.

VI. RECOMMENDATION

Management recommends that the Board of Directors approves the proposal to award an ADB loan of EUR 71.56 million to the Tunisian Republic to finance the support project for the "Digital Tunisia 2020" National Strategic Plan (PNS), according to the conditions and terms set forth in this report.

ANNEX I: PROJECT IMPLEMENTATION ARRANGEMENTS

1. Context

The execution of PNS TD2020 has been exceedingly slow since its inception in 2014 because of the following reasons: (i) lack of a sufficiently equipped structure (in terms of human and financial resources); (ii) inadequacy of the legal and administrative framework (an unattractive public sector, crippling procurement procedures, etc.); (iii) complexity of the mechanisms for accessing the ICT Fund.

That was why the Digital Economy Strategic Council (CSEN) chaired by the Head of Government, decided in March 2017 to create the Digital Development Agency (ADN) within two years at the latest. The bill related thereto was prepared by MTCEN a long time ago and sent to the office of the Head of Government for onward transmission to the Peoples Representative Assembly (ARP) by the end of the year after approval by the Executive. By that time, MTCEN would have initiated procedures for the establishment of a Delivery Unit (DU) that will serve as a transitional body prior to the installation of the ADN which will be responsible, inter alia, for the delegated supervision of the current operation.

2. Role and Institutional Basis of the DU

The underlying objectives for establishing the DU are to: (i) ensure the diligent execution of the projects under PNS TD2020; (ii) ensure the fiduciary management of resources raised through external funding (donors, in particular) and the national budget (ICT Fund); (iii) provide technical and institutional support to line ministries and coordinate the overall implementation of the programme; etc.

Accordingly, considering that the DU should be located at the highest possible level, MTCEN raised it to the level of a General Directorate placed under the direct supervision of the Minister or Secretary of State in Charge of the Digital Economy. Hence, the DU will contribute to the formulation and definition of the strategy, serve as the executing agent for projects under PNS TD2020, and manage the proceeds from the operational and maintenance activities of these projects.

3. Organization and Resources of the DU

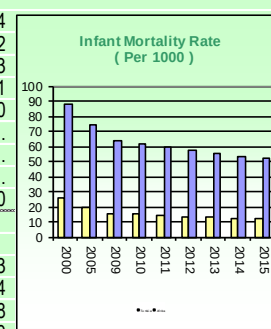
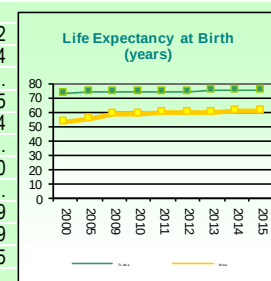
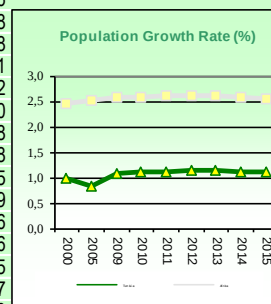
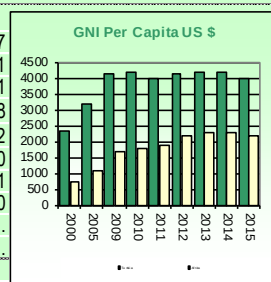
First of all, its functioning will be characterized by a separation between the operational and support activities. Accordingly, under the supervisory authority of an Executive Director, there will be a Head of the Operations Unit (project managers, consultants-technical experts, etc.) and a Head of the Support Unit (jurists; officers in charge of resource mobilization, procurements, financial management, disbursements, piloting/quality, changes/process management, etc.). Hence, the ad hoc legal status adopted for the future ADN requires that the DU should be able to rely on a mix of qualified staff from the Ministry (through an upgrade) and high-calibre consultants who can be easily absorbed into the human resources of the said Agency after its creation.

In that regard, it should be noted that MTCEN already has operational staff (through the project management unit of the existing PNS TD2020) and support staff (especially in procurements) in the various central directorates of the Ministry. Once the DU has been created, MTCEN has already proceeded with the launching of the recruitment of additional technical staff to fill any gaps using supplementary support from the Bank.

ANNEX II: COMPARATIVE SOCIOECONOMIC INDICATORS OF TUNISIA

Tunisia COMPARATIVE SOCIO-ECONOMIC INDICATORS

	Year	Tunisia	Africa	Developing Countries	Developed Countries
Basic Indicators					
Area ('000 Km ²)	2016	164	30 067	97 418	36 907
Total Population (millions)	2016	11,4	1 214,4	6 159,6	1 187,1
Urban Population (% of Total)	2016	66,9	40,1	48,7	81,1
Population Density (per Km ²)	2016	73,2	41,3	65,1	33,8
GNI per Capita (US \$)	2015	3970	2 153	4 509	41 932
Labor Force Participation * - Total (%)	2016	47,7	65,7	63,5	60,0
Labor Force Participation ** - Female (%)	2016	25,1	55,7	48,9	52,1
Sex Ratio (per 100 female)	2016	97,6	100,1	106,0	105,0
Human Develop. Index (Rank among 187 countries)	2015	97	...	...	...
Popul. Living Below \$ 1.90 a Day (% of Population)	2010	2,0	...	18,3	...
Demographic Indicators					
Population Growth Rate - Total (%)	2016	1,1	2,5	1,3	0,6
Population Growth Rate - Urban (%)	2016	1,3	3,6	2,4	0,8
Population < 15 years (%)	2016	23,5	40,9	27,9	16,8
Population 15-24 years (%)	2016	15,1	19,3	16,9	12,1
Population ≥ 65 years (%)	2016	7,8	3,5	6,6	17,2
Dependency Ratio (%)	2016	45,5	79,9	54,3	52,0
Female Population 15-49 years (% of total population)	2016	27,0	24,0	25,7	22,8
Life Expectancy at Birth - Total (years)	2016	75,2	61,5	69,9	80,8
Life Expectancy at Birth - Female (years)	2016	77,6	63,0	72,0	83,5
Crude Birth Rate (per 1,000)	2016	17,6	34,4	20,7	10,9
Crude Death Rate (per 1,000)	2016	6,6	9,1	7,6	8,6
Infant Mortality Rate (per 1,000)	2015	12,1	52,2	34,6	4,6
Child Mortality Rate (per 1,000)	2015	14,0	75,5	46,4	5,5
Total Fertility Rate (per woman)	2016	2,1	4,5	2,6	1,7
Maternal Mortality Rate (per 100,000)	2015	62,0	476,0	237,0	10,0
Women Using Contraception (%)	2016	66,4	31,0	62,2	...
Health & Nutrition Indicators					
Physicians (per 100,000 people)	2005-2015	164,8	41,6	125,7	292,2
Nurses and midwives (per 100,000 people)	2005-2015	318,9	120,9	220,0	859,4
Births attended by Trained Health Personnel (%)	2010-2015	98,6	53,2	69,1	...
Access to Safe Water (% of Population)	2015	97,7	71,6	89,4	99,5
Access to Sanitation (% of Population)	2015	91,6	39,4	61,5	99,4
Percent. of Adults (aged 15-49) Living with HIV/AIDS	2015	0,1	3,4	...	...
Incidence of Tuberculosis (per 100,000)	2015	37,0	240,6	166,0	12,0
Child Immunization Against Tuberculosis (%)	2015	97,0	81,8	...	...
Child Immunization Against Measles (%)	2015	98,0	75,7	83,9	93,9
Underweight Children (% of children under 5 years)	2010-2015	2,3	18,1	15,3	0,9
Prevalence of stunting	2010-2014	10,1	33,3	25,0	2,5
Prevalence of undernourishment (% of pop.)	2015-2016	5,0	16,2	12,7	...
Public Expenditure on Health (as % of GDP)	2014	4,0	2,6	3,0	7,7
Education Indicators					
Gross Enrolment Ratio (%)					
Primary School - Total	2010-2016	114,2	101,2	104,9	102,4
Primary School - Female	2010-2016	112,5	98,4	104,4	102,2
Secondary School - Total	2010-2016	88,2	52,6	71,1	106,3
Secondary School - Female	2010-2016	94,2	50,2	70,5	106,1
Primary School Female Teaching Staff (% of Total)	2010-2016	60,0	47,1	59,8	81,0
Adult literacy Rate - Total (%)	2010-2015	81,1	66,8	82,3	...
Adult literacy Rate - Male (%)	2010-2015	89,7	74,3	87,1	...
Adult literacy Rate - Female (%)	2010-2015	72,8	59,4	77,6	...
Percentage of GDP Spent on Education	2010-2015	6,3	5,0	4,0	5,0
Environmental Indicators					
Land Use (Arable Land as % of Total Land Area)	2014	18,7	8,7	11,2	10,3
Agricultural Land (as % of land area)	2014	64,8	41,7	37,9	36,4
Forest (As % of Land Area)	2014	6,6	23,2	31,4	28,8
Per Capita CO2 Emissions (metric tons)	2014	1,9	1,1	3,5	11,0



Sources : AfDB Statistics Department Databases; World Bank: World Development Indicators;

last update :

June 2017

UNAIDS; UNSD; WHO; UNICEF, UNDP; Country Reports.

Note : n.a. : Not Applicable ; ... : Data Not Available. * Labor force participation rate, total (% of total population ages 15+)

** Labor force participation rate, female (% of female population ages 15+)

ANNEX III: PORTFOLIO SITUATION OF TUNISIA AS OF 31 MARCH 2017

Tunisia- Active Portfolio (MIC grant vs Total, exclu MENA TF and TFT)									
Division	Project Title	Sector	Source	Sector Department	Approval Date	Amount Approved	Disbursement Rate	Completion Date	Age
RDGN2	STUDY-RISK MANAGEMENT AND IMPLEMENTATION OF AN AS SYSTEM	Agriculture	ADB	AHAI	02/08/2016	325 000,00	1,93	31/12/2018	1,2
RDGN2	MIC GRANT FOR THE PREPARATION OF ZAGHOAUN PDAI	Agriculture	ADB	AHAI	27/10/2014	390 000,00	45,37	31/12/2018	3,0
RDGN2	MIC - INVESTMENT PROMOTION SUPPORT PROJECT AND	Social	ADB	AHHD	03/06/2015	296 373,00	0,00	30/06/2018	2,4
RDGN3	INDUSTRIAL POLICY SUPPORT PROJECT	Ind/Mini/Quar	ADB	PITD	14/08/2015	791 380,00	0,00	31/08/2017	2,2
RDGN3	STRUCTURAL TRANSFORMATION AND SUPPORT TO PROMISING SECTORS	Ind/Mini/Quar	ADB	PITD	14/08/2015	798 310,00	3,17	28/02/2018	2,2
RDGN3	STUDY ON THE TRANSPORT NATIONAL MASTER PLAN	Transport	ADB	PICU	14/07/2014	800 000,00	11,30	30/06/2017	3,3
RDGN3	ROAD NETWORK UPGRADING PRIORITY PROGRAMME (PMIR)	Transport	ADB	PICU	28/10/2015	1 200 000,00	0,00	31/12/2020	2,0
RDGN3	SUPPORT PROJECT FOR OPERATIONALIZING THE TUNISIA ACTION PLAN	Multi-Sector	ADB	ECGF	27/12/2013	530 100,00	41,40	31/12/2017	3,8
RDGN3	OPERATIONALISING PPPS IN TUNISIA (PPP ADVISORY)	Multi-Sector	ADB	ECGF	14/06/2013	789 000,00	23,09	30/06/2018	4,4
RDGN1	ELECTRICITY TRANSMISSION AND DISTRIBUTION NETWORK DEVELOPMENT PR	Energy	ADB	PESD	01/04/2015	41 511 527,24	0,00	31/12/2017	2,6
RDGN2	NORTH GAFSA INTEGRATED DEVELOPMENT PROJECT (PDAI)	Agriculture	ADB	AHAI	13/02/2013	18 587 313,73	41,41	30/06/2019	4,7
RDGN2	INTEGRATED DEVELOPMENT PROJECT (PDAI)	Agriculture	ADB	AHAI	26/11/2014	17 357 684,97	22,98	30/06/2020	2,9
RDGN2	RURAL WATER SUPPLY PROJECT (AEPR)	Water and Sanitation	ADB	AHWS	12/10/2011	79 694 736,05	88,87	31/12/2018	6,0
RDGN2	RURAL WATER SUPPLY AND SANITATION PROJECT	Water and Sanitation	ADB	AHWS	06/09/2016	103 967 927,11	4,04	31/12/2021	1,1
RDGN2	RURAL WATER SUPPLY AND SANITATION PROJECT	Water and Sanitation	Other	AHWS	06/09/2016	840 484,46	10,00	31/12/2021	1,1
RDGN2	DEVELOPMENT OF THE VISION AND STRATEGY OF THE WATER SECTOR IN TUN	Water and Sanitation	Other	AHWS	20/06/2016	1 130 451,59	0,00	30/12/2018	1,3
RDGN2	WASTE WATER QUALITY IMPROVEMENT PROJECT	Water and Sanitation	ADB	AHWS	11/01/2012	27 273 720,57	37,89	31/12/2018	5,8
RDGN2	INCLUSIVE REGIONAL DEVELOPMENT SUPPORT PROGRAMME (PADRI)	Social	ADB	AHHD	02/11/2016	151 287 201,94	100,00	31/12/2017	1,0
RDGN3	GABES-RAS-JEDIR HIGHWAY CONSTRUCTION PROJECT	Transport	ADB	PICU	21/06/2011	115 432 135,08	43,34	31/10/2019	6,4
RDGN3	ROAD NETWORK UPGRADING PRIORITY PROGRAMME (PMIR)	Transport	ADB	PICU	28/10/2015	121 029 761,55	18,30	31/12/2020	2,0
RDGN3	ROAD NETWORK UPGRADING PRIORITY PROGRAMME (PMIR)	Transport	Other	PICU	28/10/2015	38 763 143,08	18,76	31/12/2020	2,0
RDGN3	FAPA TUNISIE PME BFPME	Finance	Other	PIFD	05/08/2013	666 994,31	4,08	30/06/2018	4,2
RDGN3	SUPPORT PROGRAMME TO MODERNIZE THE FINANCIAL SECTOR	Finance	ADB	PIFD	13/07/2016	225 249 834,00	100,00	31/12/2017	1,3
PIFD1	AFRICAN SME PROGRAMME - LOC HANNIBAL LEASE	Finance	ADB	PIFD	14/07/2017	6 723 875,64	0,00	08/07/2018	0,3
PISD2	SOUTH TUNISIAN GAZ PIPELINE - TUNISIA	Energie	ADB	PISD	26/06/2014	52 657 445,76	100,00	19/08/2027	3,3
PISD2	II° CREDIT LINE TO BANQUE DE L'HABITAT	Finance	ADB	PISD	27/02/2002	23 953 806,97	100,00	31/12/2006	15,7
PISD2	BANQUE HABITAT TUNISIE - LOC II	Finance	ADB	PISD	21/07/2003	67 238 756,42	100,00	31/03/2008	14,3
PISD2	SME APEX FACILITY TUNISIA	Finance	ADB	PISD	13/07/2011	35 104 963,84	70,43	22/07/2021	6,3
PISD2	CREDIT LINE FOR TRADE FINANCE FOR BH T	Finance	ADB	PISD	19/10/2016	50 429 067,31	100,00	27/08/2020	1,0
PISD3	ENFIDHA AIRPORT PROJECT	Transport	ADB	PICU	14/01/2009	57 097 655,05	100,00	01/01/2023	8,8

ANNEX IV: MAP OF THE PROJECT AREA

